

[so] the superbullish case for new all-time highs (along with Dow 3600+) remains intact." The advance, however, developed in three waves, not five, producing substantial uncertainty, too-early bearishness, and long periods of no comment. Finally, in October 1993, EWT pointed out that "the advance is [best] labeled as a nearly completed double zigzag, which is a *corrective* pattern." What was a three-wave structure doing in this position?

The 1994 Top

The Elliott Wave Theorist prepared for the next peak under the assumption that, being of three waves, it would end wave B of an expanded flat pattern from 1989. That assumption was wrong, but the targeting method proved useful, as you can see by this forecast from October 1993:

The current juncture offers the same analytic excitement as that of August 1989. Wave B is not only approaching the long term resistance line, but [has] reached a length of 1.236 times as long as wave A, a typical relationship, at **1713**. Two targeting calculations with less weight produce targets at **1819**, at which level wave B will be 1.382 times the length of A, and **1863**, at which within B, the second (a)-(b)-(c) will equal the first. Without putting too fine a point on it, if the DJTA is in a "B" wave, it will peak between its current level and about 8% higher.

On February 2, 1994, the DJTA closed at **1862.29**, fulfilling its highest calculated target and meeting its Supercycle degree trendline once again. The fact that there were no higher targets allowed for a powerful degree of certainty in the resulting assessment. The next issue illustrated the relationship that had been used to project **1863**, as shown in Figure 6-6. The message from the Wave Principle appeared unequivocal. The target for wave B, said *The Elliott Wave Theorist*, is "now fulfilled."

ANALYSIS

A Developing Diagonal Triangle

Instead of developing in five waves down, as would befit the start of wave C, the 1994 decline has unfolded in *three* waves. This recently completed development casts the light of clarity and sudden recognition on the wild performance of the DJTA over the past